

Business Vision

Business Registration & Startup Knowledge Guide

A structured reference document designed as a starter knowledge base for a RAG system.

Scope: India-focused, with a Hyderabad/Telangana example. Legal and tax requirements vary by business activity, state, location and date; verify current requirements with the relevant authority before acting.

1. What Business Vision Is Solving

Entrepreneurs often face fragmented information about entity formation, taxation, local permissions, sector licences and ongoing compliance. Business Vision is intended to turn that scattered information into a searchable, question-answering guide.

Core user questions

- What business structure should I choose?
- How do I register the business?
- Which registrations are mandatory or optional?
- What licences apply to my industry and location?
- What documents will I need?
- What should I do after registration?
- What recurring compliance tasks should I track?

Example query

“What licences do I need for a food truck in Hyderabad?”

The RAG system should retrieve relevant central, Telangana and local-government material, then present a clear checklist with the authority, purpose, application path and caveats.

Typical Business Setup Flow



2. Common Business Structures in India

Common Business Structures

Proprietorship

Simple, single-owner business model

Partnership

Two or more owners sharing responsibilities

LLP

Limited liability with partnership flexibility

Private Limited

Separate legal entity; common startup structure

The choice of structure affects ownership, liability, governance, taxation, fundraising and compliance. This document is a learning reference, not a recommendation for a specific person.

Structure	Typical fit	Key idea
Proprietorship	Single-owner small business	Simple setup; owner and business are closely connected.
Partnership	Two or more owners	Partners share management and responsibilities.
LLP	Professional/services businesses and some startups	Limited liability with partnership-style flexibility.
Private Limited Company	Growth-oriented startups and companies	Separate legal entity; formal governance and equity structure.
OPC	Single-owner company model	Company form designed around a single member, subject to applicable rules.

3. Business Registration: General Workflow

For a company, the Ministry of Corporate Affairs uses the SPICe+ incorporation process. MCA describes SPICe+ as an integrated webform for company incorporation and related services.

A simplified learning workflow:

- **Decide the structure:** proprietorship, partnership, LLP, company, etc.
- **Choose a business name:** check availability and naming restrictions.
- **Prepare founder/business information:** identity, address, ownership and proposed activities.
- **Incorporate/register:** follow the relevant government process for the selected structure.

- **Obtain tax and other registrations:** only those applicable to the business.
- **Obtain sector/local licences:** based on the activity and place of operation.
- **Set up operations:** bank account, accounting, invoicing, contracts, records and compliance calendar.

For a Private Limited Company, MCA states that name reservation and incorporation are handled through SPICe+, with Part A for name reservation and Part B covering incorporation and linked services.

Important distinction

Registration is not the same as licensing. Incorporating a company creates the legal entity; industry and local licences may still be required before or during operations.

4. Core Registrations & Permissions to Model in the RAG

Item	What it is	When it may matter	Authority / source
Business/entity registration	Creates or records the business structure	Depends on structure	MCA / relevant state or local authority
GST registration	Goods and Services Tax registration	Depends on turnover, supply type, state and other conditions	GST system / tax authorities
Udyam (MSME)	MSME registration	For eligible enterprises seeking MSME registration	Ministry of MSME
FSSAI	Food-safety registration/licensing	Food businesses, according to applicable category	FSSAI
Local trade licence	Local-body permission for listed trades	Depends on activity and jurisdiction	Municipal/local body
Profession tax	State-level profession/trade/employment tax registration or enrolment where applicable	Depends on state rules and business status	State tax department
Other sector licences	Activity-specific permissions	Examples: food, manufacturing, transport, healthcare, retail	Relevant regulator/local authority

Udyam note: the official portal states that Udyam registration is free, paperless and based on self-declaration, and that there is no renewal requirement. The portal also lists current MSME classification thresholds.

5. GST & MSME: Knowledge to Store Carefully

GST

- GST registration is not automatically required for every new business; applicability depends on the law and the business's facts.
- GST registration is state-wise in the GST registration process. The GST portal documentation also asks applicants for business, jurisdiction and authorised-signatory details.
- The RAG should avoid hard-coding a single turnover threshold without context because thresholds and exceptions can depend on the type of supply, state and other legal conditions.
- Store official GST guidance and notifications with dates so answers can be updated when rules change.

Udyam / MSME

- The official Udyam portal says registration is free and paperless.
- Current classification shown on the official portal: Micro — investment up to ₹2.5 crore and turnover up to ₹10 crore; Small — up to ₹25 crore and ₹100 crore; Medium — up to ₹125 crore and ₹500 crore.
- The portal states that no enterprise should file more than one Udyam Registration, while multiple activities can be specified within one registration.

RAG design rule

Every tax/threshold answer should carry source date + jurisdiction + applicability conditions. This prevents the assistant from giving an old threshold as if it were universal.

6. Example Use Case: Food Truck in Hyderabad

Example: Food Truck in Hyderabad



This is an illustrative workflow for the RAG project. It is not a complete legal checklist for every food truck.

Question	What the RAG should retrieve
Food-safety permission?	FSSAI category/registration or licence rules applicable to the food business.
Local permission?	GHMC/local-body trade licence and any location-specific requirements.
Tax registration?	GST applicability based on turnover, supplies and other conditions.
Business structure?	Explain available structures and ask clarifying questions before recommending one.
Vehicle/location rules?	Retrieve applicable transport, parking, vending, premises and local rules from current authorities.

GHMC states that a trade licence is issued by the local authority for listed businesses within GHMC jurisdiction. Its published procedure includes online application, payment and certificate issuance, and lists identity and occupancy-related documents.

FSSAI publishes food-business registration/licensing guidance. The exact category should be determined from the current FSSAI rules and the facts of the business rather than inferred only from the phrase “food truck.”

7. Startup India / DPIIT Recognition

For an innovation-focused startup, the Business Vision knowledge base can also include Startup India/DPIIT recognition information.

- Startup India currently describes eligible entity types as Private Limited Company, registered Partnership Firm, LLP or Cooperative Society.
- The current Startup India portal says the normal startup age limit is up to 10 years from incorporation/registration, with a longer period for DeepTech under the current framework.
- The Startup India portal notes that the turnover threshold for recognition was revised to ₹200 crore for non-DeepTech startups and ₹300 crore for DeepTech startups under the February 2026 notification.
- Recognition is not automatic; the entity must satisfy the applicable innovation/scalability and other criteria.

Why this matters to Business Vision

Users may ask: “I have an AI startup. Am I eligible for DPIIT recognition?” The RAG should retrieve the current official criteria, identify missing facts, and avoid claiming eligibility without those facts.

8. Telangana / Hyderabad Local Layer

A strong RAG system should combine national rules with state and local rules when the user provides a location.

Telangana examples

- The Telangana Commercial Taxes Department provides online registration workflows for profession tax and business details.
- The Telangana department states that businesses with valid GST/VAT registration do not need a separate profession-tax registration in the situations described by its current portal; the system provides for automatic registration.
- GHMC provides online services for new trade licences and publishes trade-licence procedures for businesses within its jurisdiction.

Location-aware retrieval pattern

User: "I want to open a small bakery in Hyderabad."

Retriever should prioritize: central food-safety rules + Telangana tax/registration information + GHMC/local requirements + any activity-specific permissions.

9. Common Document Checklist

Document / information	Why it may be needed
PAN / identity details	Tax, identity and registration workflows.
Aadhaar / authorised-signatory details	Identity verification in applicable portals.
Business address / proof of occupancy	Registered office or principal place of business evidence.
Lease deed / ownership proof	Premises-related registrations and local licences.
Photographs / signatures / DSC where required	Authentication for particular filings.
Partnership deed / MOA / AOA / incorporation documents	Depends on the entity structure.
Bank details	Some registrations and operational setup require bank information.
Business activity description	Determines tax, industry and licence applicability.

Compliance calendar

- Record registration dates and certificate numbers.
- Track renewal dates where a licence actually requires renewal.
- Track tax return/payment due dates applicable to the business.
- Track annual company/LLP filings where applicable.
- Track local licence renewals and inspections where applicable.
- Keep source documents and government notifications versioned by date.

10. How to Turn This into Your RAG Knowledge Base

For your Business Vision beginner RAG, do not put everything into one giant document only. Build a small, well-organized corpus so retrieval can find the right authority and jurisdiction.

Recommended document folders

Folder	Content
01_entity_registration	MCA incorporation guidance, LLP/partnership references, structure explanations.
02_tax	GST registration guidance, official FAQs, notifications and state tax material.
03_msme	Udyam registration and MSME classification guidance.
04_food	FSSAI registration/licensing guidance and food-sector material.
05_local_hyderabad	GHMC trade licence and relevant Telangana local requirements.
06_startup	Startup India/DPIIT recognition and startup scheme material.
07_sector_specific	Healthcare, manufacturing, retail, transport, education, etc.

Metadata to store with every chunk

source_title, authority, jurisdiction, business_type, sector, effective_date, last_checked, url, document_version.

This metadata lets your future agent answer questions such as “only Hyderabad rules,” “current requirements,” or “food businesses only.”

11. Example Questions for Testing Business Vision

- How do I register a sole proprietorship in India?
- What is the difference between an LLP and a private limited company?
- What documents are usually needed to incorporate a company?
- When might GST registration be required?
- How do I get Udyam registration?
- What are the current MSME classification limits?
- What licence does a food business need?
- What licences might a food truck in Hyderabad need?
- How do I apply for a GHMC trade licence?
- What registrations should a small retail shop consider?
- What should an AI startup know about DPIIT recognition?
- What information do you need from me before giving a registration checklist?

Good-answer behavior

- Ask for missing facts such as location, business activity, ownership structure and expected scale.
- Separate mandatory requirements from potentially applicable requirements.
- Name the authority responsible for each registration.
- Give a short checklist before detailed explanation.
- Cite or identify the source document used by the RAG.
- Flag information that may change and recommend checking the latest official source.

12. Official Source Map

Use official government sources as the primary corpus for this project. Third-party blogs can be useful for discovery, but the RAG should prefer primary sources when answering legal, tax, registration and licensing questions.

Authority / portal	Use in corpus
Ministry of Corporate Affairs (MCA)	Company incorporation, SPICe+, company rules and filing guidance.
GST Portal	GST registration, taxpayer services, FAQs and current guidance.
Ministry of MSME — Udyam	Udyam registration and MSME classification.
FSSAI	Food business registration/licensing and food-safety guidance.
Startup India / DPIIT	Startup recognition, schemes and startup policy information.
GHMC	Hyderabad local trade licence and municipal services.
Telangana Commercial Taxes Department	State tax/profession-tax and related registration information.

Current official references checked for this document:

MCA SPICe+ FAQs: mca.gov.in

Udyam Registration: udyamregistration.gov.in

Startup India: startupindia.gov.in